

Global Luxury Goods

Global Luxury Goods: A logic lens to understand tourist headwinds in 1H26E



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Luxury companies have reported contrasted tourist trends in Europe over 1H26E.

Richemont and Zegna delivered relatively robust Europe / EMEA performance 2Q26A, with Zegna highlighting a strong performance from international visitors (see [Zegna: Highlights from the Preliminary 1H26 conference call](#)). Burberry too saw strong demand from American tourists in Europe, but noted that this could not offset weaker traffic from Asia (see [Burberry: Reflections on 1Q27 \(= calendar 2Q26\)](#)). Moncler, on the other hand, flagged thin Asian tourist flows into Europe as a core reason for its negative performance in EMEA (see [Moncler: Highlights from the 1H26 conference call](#)).

Each company's exposure to a trident of factors has generated diverging results.

These factors determine the degree and sensitivity of revenues in Europe to travel flows from Asia, which have been disrupted by the war in the Middle East: (1) exposure to Chinese nationals, with lower exposure the better; (2) the size of regional price gaps between China and France, with smaller gaps the better; and (3) any offset from improving American spending in Europe, with a higher offset the better.

Richemont sits on one extreme... we estimate that Cartier and Van Cleef & Arpels carry relatively low exposure to Chinese nationals (~20-25%), as compared to soft luxury brands (~30-40%). Regional price gaps are also smaller given hard luxury's global pricing strategy, while booming demand for jewellery in the USA has likely supported American tourist spending in Europe.

... while Moncler finds itself on the other. We estimate that Chinese nationals represent ~35-40% of the main Moncler brand's revenues. Moncler also maintains some of the widest China vs. France price gaps, with prices in France -30% below that of the same product in China (vs. a soft luxury average of -20%). Moncler faces a relative disadvantage when it comes to any potential offset from pond-hopping Americans: brand awareness in the Americas remains a work-in-progress while seasonality generated an additional hurdle.

Weakness at Hermès in 1Q26A should also be seen in this context, offering scope for sequential improvement in 2Q26E. Hermès carries significant exposure to Chinese nationals (~40%) and continues to implement wide regional price gaps (>30%, albeit on a limited sample). It is unsurprising, therefore, that Hermès revealed that tourists represent up to 50% of revenues in France in order to explain 1Q26A's performance. Looking to 2Q26E, however, the company has indicated that slightly better tourist trends may provide sequential support in France - possibly reflecting significant dynamism in the Americas.

BERNSTEIN TICKER TABLE

24 Jul 2026					TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
BIRK (Birkenstock)	M	USD	40.63	50.00	(38.1)%	EUR	1.85	2.01	2.49	19.3	17.7	14.3
BC.IM (Brunello Cucinelli)	O	EUR	81.58	108.00	(37.2)%	EUR	1.99	2.26	2.65	41.1	36.1	30.8
BRBY.LN (Burberry)	O	GBp	1,068.00	1,300.00	(37.6)%	GBP	0.24	0.36	0.54	43.7	30.1	19.8
CFR.SW (Richemont)	O	CHF	193.05	240.00	20.6%	EUR	5.96	8.07	9.33	34.8	25.7	22.2
ZGN	O	USD	14.32	14.00	49.4%	EUR	0.45	0.42	0.60	27.8	29.8	20.8
EL.FP (EssilorLuxottica)	M	EUR	163.50	185.00	(51.5)%	EUR	6.79	7.65	8.95	24.1	21.4	18.3
RMS.FP (Hermes)	O	EUR	1,643.00	2,150.00	(47.6)%	EUR	43.12	43.89	52.30	38.1	37.4	31.4
KER.FP (Kering)	M	EUR	242.30	220.00	(3.1)%	EUR	4.35	6.13	9.86	55.7	39.5	24.6
MC.FP (LVMH)	O	EUR	461.70	600.00	(19.5)%	EUR	22.73	22.22	26.71	20.3	20.8	17.3
MONC.IM (Moncler)	M	EUR	47.94	57.50	(17.2)%	EUR	2.31	2.46	2.66	20.8	19.5	18.0
1913.HK (Prada SpA)	O	HKD	38.70	45.00	(46.6)%	EUR	0.33	0.28	0.32	13.0	15.4	13.8
SFER.IM (Ferragamo)	O	EUR	10.00	8.80	71.9%	EUR	(0.30)	0.04	0.15	(33.9)	266.4	68.2
UHR.SW (Swatch)	M	CHF	169.90	195.00	(10.3)%	CHF	0.03	5.60	8.67	N/M	30.3	19.6
SPX			7,411.98									
EDME			1,600.33									
EMLSF			6,198.42									
ASIA			1,880.30									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

BRBY.LN, CFR.SW base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Investors keen to identify some readacross from Moncler's 2Q26A performance to luxury names yet to report should bear the brand's relative positioning in mind. Higher than average price gaps between Europe and overseas leaves Moncler exposed to adverse price elasticity effects, when tourist flows to Europe weaken and consumers switch at home to "buy now, wear now". This is making Moncler more seasonal, despite the brand's Spring/Summer product success, and has dragged on Moncler's performance in Europe.

Soft luxury names should face milder tourist headwinds than Moncler. Particularly those with lower exposure to Chinese nationals shopping abroad (e.g. Kering and LVMH). Brands like Hermès, with high exposure to Chinese nationals and high price gaps may find an alternate attenuating factor that Moncler lacks - namely sequentially improving spending from American tourists.

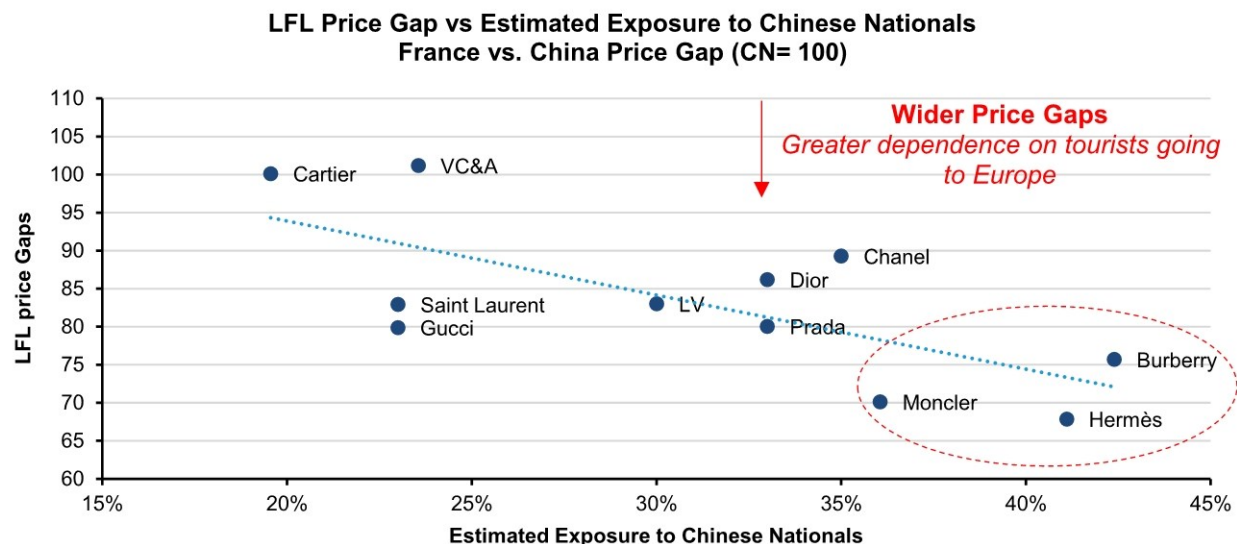
DETAILS

EXHIBIT 1: Luxury brands have reported contrasted performance in EMEA over 1H26E, with some reporting strong performance supported by American tourists, while others reporting deteriorating trends driven by lacklustre Asian tourist flows

Luxury 2Q26 (calendar year) Results							
(in reporting currency millions)	2Q26	2Q25	2Q21	Organic y/y	Reported y/y	Organic y/5y	Reported y/5y
Richemont (EUR)	6,329	5,412	4,397	+11%	17%	+60%	+44%
Europe	1,429	1,295	905	+7%	+10%	+117%	+58%
Asia Pacific	2,068	1,731	1,933	+11%	+19%	+7%	+7%
Americas	1,670	1,335	955	+16%	+25%	+89%	+75%
Japan	632	527	240	+22%	+20%	+257%	+163%
Middle East & Africa	530	524	364	-6%	+1%	+46%	+46%
Ermenegildo Zegna (EUR)	517	469		+11%	+10%		
EMEA	177	175		+2%	+1%		
Americas	165	138		+22%	+20%		
Greater China Region	112	100		+9%	+12%		
Rest of APAC	62	56		+19%	+11%		
Other	656	808		-18%	-19%		
Burberry (GBP)	455	510	556	+5%	-11%		-18%
Asia Pacific				+3%			
Greater China				+9%			
EMEA				-3%			
Americas				+12%			
Moncler Group (EUR)	409	397	256	+5%	+3%	+70%	+60%
Moncler - Brand	323	317	200	+3%	+2%	+73%	+61%
- Asia	160	145	84	+12%	+10%	+118%	+89%
- EMEA	112	121	74	-8%	-8%	+55%	+51%
- Americas	52	51	42	+4%	+2%	+21%	+24%

Source: Company reports, Bernstein analysis

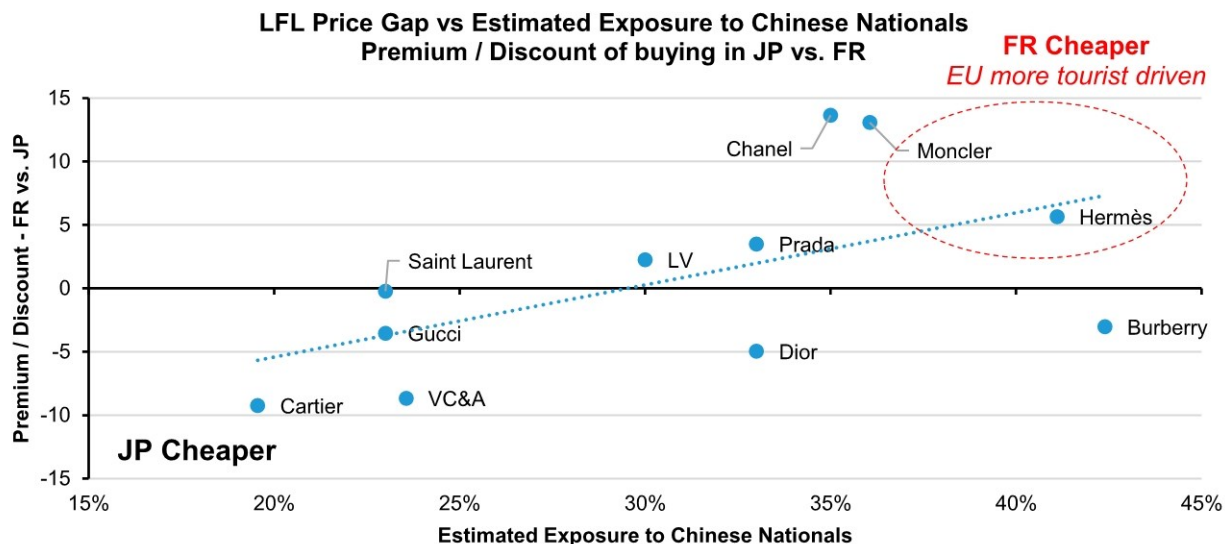
EXHIBIT 2: Hermès, Moncler, and Burberry present the highest exposure to Chinese nationals and widest price gaps among luxury brands - indicating a greater reliance on Chinese/Asian tourists travelling into Europe



We calculate regional price gaps using LFL products sold across all three countries (JP, KR, CN). We convert all local prices into CNY, using the FX rate on 03 Jul 2026. For the hard luxury names, we use all jewellery SKUs listed; for soft luxury we use all handbags SKUs; for Moncler, we use all outerwear SKUs. Note that our calculations include a significantly smaller sample size for Hermès given significant variation in SKUs listed on Hermès regional brand.coms

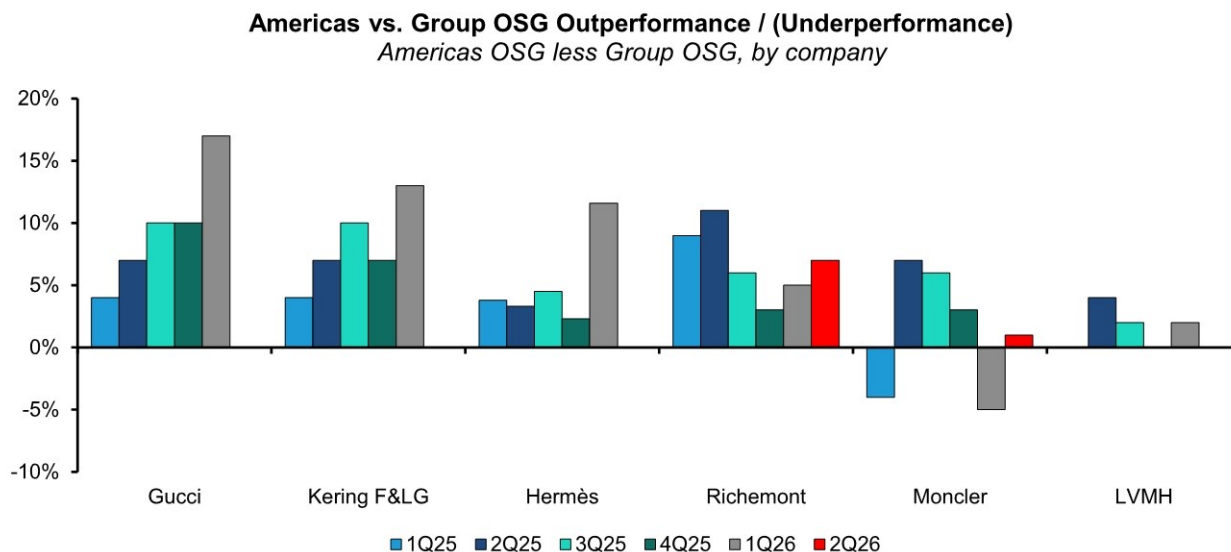
Source: brand.com, Bernstein analysis and estimates

FIGURE 1: Shopping in Europe has remained relatively attractive for Chinese consumers looking to purchase Hermès and Moncler products - even after accounting for near-shore alternatives such as Japan. More recent cross-continental travel disruptions created by the war in the Middle East would have had a disproportionate impact on this demand



Source: brand.com, Bernstein analysis and estimates

EXHIBIT 3: Strong demand in the USA, on the other hand, presents a potential offset for luxury brands come 2Q26E, if some of this overflows into Europe as a sequential improvement in American tourist spending. Moncler, faced with relatively weaker trends in the Americas, has likely enjoyed a smaller offset



Source: Company reports, Bernstein analysis and estimates

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